



Fundamentals of Human Resource Management (HRM1)

Module 8: Performance Appraisal and Management

Lesson 2: Performance Management at the Organisational Level

Lesson Notes

KMVTECHUG

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What Is Performance Management at the Organisational Level

In a dynamic and competitive business environment, organisations must be prepared to respond to challenges that threaten their survival, adopting strategies and behaviours that revitalise results, which requires measuring performance through a structured performance management process (Gabcanova, 2012).

Performance management refers to the process through which organisations set work goals, determine performance standards, assign and evaluate work, provide performance feedback, determine training and development needs, and distribute rewards (Briscoe & Claus, 2008). It is the systematic process of planning work and setting expectations, continually monitoring performance, developing the capacity to perform, periodically rating performance in summary form, and rewarding good performance. It can also be understood as a continuous process where management and employees work together to set objectives, assess how well they are being met, and reward good performance, requiring the ability to translate abstract organisational goals into practical, operational goals at the individual employee level (Chase & Fuchs, 2008).

At the organisational level specifically, performance management pursues several objectives: determining whether the organisation is accomplishing its mission and core values, ensuring goals set at the organisational level are consistently met effectively and efficiently, establishing a culture of collective and individual responsibility for continuous improvement, ensuring organisational resources are properly used in pursuit of strategic goals, and identifying barriers to effective performance so they can be resolved through ongoing monitoring, coaching, and development.

A Ugandan manufacturing company that sets an organisational goal of reducing production waste by a specific percentage would use performance management to translate that abstract goal into specific targets for individual production supervisors, monitor progress regularly rather than only checking at year end, and reward supervisors whose teams genuinely contribute to that reduction.

Reflect: Why might it be harder for an organisation to translate an abstract organisational goal, such as improving customer satisfaction, into specific, measurable targets for individual employees?

Theories of Performance Management

Goal setting theory, proposed by Locke and Latham (1984), emphasises setting goals at the organisational level that are SMART, meaning Specific, Measurable, Attainable, Realistic, and Time bound. Vague goals such as improve customer service give employees little concrete guidance, while a SMART version, such as reduce average customer complaint response time to under 24 hours within the next quarter, gives a clear target that both the employee and organisation can actually track.

Control theory holds that the actions of all systems within an organisation should align with its overall goals and objectives, helping sustain a performance management system by defining forms of control between the organisation and the systems within it (Barrows & Neely, 2012). Krausert (2009) identifies three types of control. Behaviour control involves the employer regularly monitoring and evaluating employee actions against organisational standards, rewarding accordingly. Output control evaluates and rewards or sanctions employee performance based on organisational standards after the fact. Input control is directed toward top management, facilitating the process by providing resources and support that make good performance possible in the first place.

Reinforcement theory, developed by Hull (1951), states that success in achieving goals and receiving rewards acts as a positive incentive, reinforcing the successful behaviour so it is repeated when a similar situation arises again. Positive feedback provides this reinforcement, and constructive feedback can similarly reinforce behaviours that seek alternative, better ways of achieving goals (Armstrong, 2009).

A Ugandan telecom company applying reinforcement theory might publicly recognise a customer service team that successfully reduced complaint resolution time, reinforcing that specific behaviour so other teams are motivated to repeat it, rather than simply announcing the company wide target without acknowledging the teams actually achieving it.

Reflect: *Of goal setting theory, control theory, and reinforcement theory, which do you think best explains why some organisations sustain strong performance over many years while others see performance improve briefly and then fade?*

The Performance Management Cycle, and Closing This Module

There is no single universally accepted model of performance management, but most descriptions converge on a continuous cycle of five stages. Planning involves setting expectations and goals in advance, before work begins. Monitoring involves continually tracking progress and performance, rather than waiting until a scheduled review date. Developing involves building the employee's ability to perform through training and suitable work assignments. Rating involves periodically summarising performance in a formal way, connecting back to the appraisal methods covered in Lesson 1. Rewarding involves recognising good performance, and identifying corrective measures where performance falls short.

This cycle connects directly back to Lesson 1: the rating stage of the performance management cycle is exactly where 360 degree feedback and rating scales are actually applied in practice. Performance appraisal is not a separate activity from performance management, it is one stage within it.

Closing thought for this module: an organisation that only rates employees once a year, without genuinely planning, monitoring, developing, and rewarding throughout the year, is not really practising performance management at all, only performance appraisal in isolation. The next and final module of this course moves outward from a single organisation's internal HR practices to International HRM, along with practical guidance on building an HR career.